



भारतीय रिज़र्व बैंक
RESERVE BANK OF INDIA

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June 24, 2026

Reserve Bank of India (Local Area Banks - Prudential Norms on Capital Adequacy) Amendment Directions, 2026

Please refer to paragraph 29 of the [Reserve Bank of India \(Local Area Banks - Prudential Norms on Capital Adequacy\) Directions, 2025 dated November 28, 2025](#) which *inter alia* specifies the requirement for maintenance of capital charge on foreign exchange risk. Upon a review and to ensure greater alignment with international standards and consistent implementation across Local Area Banks, there is a felt need to amend these instructions.

2. Accordingly, in exercise of the powers conferred by Section 35A of the Banking Regulation Act, 1949 and all other provisions / laws enabling the Reserve Bank of India (RBI) to issue instructions in this regard, the RBI being satisfied that it is necessary and expedient in the public interest so to do, hereby, issues the Amendment Directions hereinafter specified.

3. (i) These instructions shall be called the Reserve Bank of India (Local Area Banks - Prudential Norms on Capital Adequacy) Amendment Directions, 2026.

(ii) These Amendment Directions shall come into effect from April 1, 2027.

4. The [Reserve Bank of India \(Local Area Banks - Prudential Norms on Capital Adequacy\) Directions, 2025](#) are amended as provided below.

(i) Paragraph 29 shall be substituted by the following, namely:—

“Measurement of capital charge for foreign exchange and gold open positions

29. An LAB shall compute capital charge for foreign exchange risk as per the following method.

Scope of Application

वित्तियमन विभाग, केंद्रीय कार्यालय, 12 वीं और 13 वीं मंजिल, केंद्रीय कार्यालय भवन, शहीद भगत सिंह मार्ग, फोर्ट, मुंबई-400001
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हिंदी आसान है इसका प्रयोग बढ़ाइए



- (1) An LAB shall meet the capital requirements for foreign exchange risk on a continuous basis, i.e., at the close of each business day.

Exclusions from Net Open Position

- (2) An LAB shall not apply foreign exchange risk capital requirement to any position that is deducted from the LAB's regulatory capital, including a position that is hedging such a position.
- (3) An LAB shall not apply forex risk capital requirements to securities which are
 - a) already matured and remain unpaid; or
 - b) have been classified as a non-performing asset / investment. Such securities shall attract capital only for credit risk.

Calculation of Net Open Position

- (4) For calculating the capital requirement for foreign exchange risk, an LAB shall include all positions, within the 'Scope of Application' above, in foreign currencies, including gold, regardless of whether these are in the trading book or banking book.
- (5) The Net Open Position shall be calculated as under:
 - (i) Measure the exposure in a single currency as set out in sub-paragraphs (6) to (11) below.
 - (ii) Measure the risks inherent in an LAB's mix of long and short positions in different currencies as set out in sub-paragraphs (12) to (17) below.

Measuring the exposure in a single currency

- (6) An LAB's Net Open Position in each currency shall be calculated by summing:
 - (i) the net spot position (i.e., all asset items less all liability items, including accrued interest, denominated in the currency in question);
 - (ii) the net forward position (i.e., all amounts to be received less all amounts to be paid as indicated in sub-paragraph (7) below);
 - (iii) guarantees (and similar instruments) that are certain to be called and are likely to be irrecoverable;
 - (iv) net future income / expenses not yet accrued / due but where the



amounts are certain and have been fully hedged by the LAB, at its discretion;

(v) any other item representing a profit or loss in foreign currencies; and

(vi) the net delta-based equivalent of the total book of foreign currency options.

(7) The net forward position includes:

(i) tom and spot transactions which are not yet settled;

(ii) forward and futures transactions; and

(iii) principal on cross-currency swaps and any other forex derivative transactions not included in the spot position.

(8) Positions in gold (spot plus forward) shall be first expressed in terms of the standard unit of measurement (tonnes / kilos / ounces, etc.), with the net position being valued at current spot rates.

(9) Where gold is part of a forward contract (quantity of gold to be received or to be delivered), any interest rate or foreign currency exposure from the other leg of the contract shall be reported as set out in paragraphs 24 to 26 and 29(6) above.

(10) Interest, other income and expenses shall be treated as follows: Interest accrued (i.e., earned but not yet received) and accrued expenses shall be included as a spot position. Unearned but expected future interest and anticipated expenses may be excluded unless the amounts are certain and the LAB has taken the opportunity to hedge them. If an LAB includes future income / expenses it shall do so on a consistent basis, and it would not be permitted to select only those expected future flows which reduce its position.

(11) Measurement of derivative positions: An LAB shall use the current spot rates, without present value adjustment, for measuring derivative positions.

Measuring the foreign exchange risk in a portfolio of foreign currency positions and gold

(12) The capital requirement for foreign exchange positions, including gold, shall be 9 per cent of the overall Net Open Position. For measuring the overall Net



Open Position in a portfolio of foreign currency positions and gold, an LAB shall use a shorthand method which treats all currencies equally.

(13) Under the shorthand method, the nominal amount of the net position in each foreign currency and in gold is converted at spot rates into the reporting currency. The overall Net Open Position is measured by aggregating:

- (i) the sum of the net short positions or the sum of the net long positions, whichever is greater; plus
- (ii) the net position (short or long) in gold, regardless of sign.

Illustration: See example in Table below.

Table: Example of the shorthand measure of Net Open Position

	JPY	EUR	GBP	CAD	USD	Gold
Net position per currency	+50	+100	+150	-20	-180	-35
Net Open Position	+300			-200		35

Overall Net Open Position is the higher of either the net long currency positions or the net short currency positions (i.e., 300) and of the net position in gold (35) = 335. The capital requirement will be 9 per cent of the overall Net Open Position. Thus, the capital requirement = $335 \times 9 \text{ per cent} = 30.15$.

- (14) An LAB shall use the spot rates based on financial benchmarks administered by benchmark administrators authorised under the relevant directions issued by FMRD.
- (15) Transactions undertaken by an LAB till the end of business day shall be included for calculation of Net Open Position. The transactions undertaken after the end of business day may be taken into the positions for the next day. For this purpose, an LAB may define its own end of business day timings but the same shall be determined as per a duly approved internal policy and followed on a consistent basis.
- (16) This capital requirement is in addition to the capital requirement for credit risk, interest rate risk or any other risks on the on-balance sheet and off-balance sheet items pertaining to foreign exchange and gold transactions.
- (17) An LAB which is subject to the Master Direction – Risk Management and



Inter-Bank Dealings, as amended from time to time, shall be guided by the Direction *ibid*, and related directions, for other instructions related to Net Open Position, including *inter alia*, reporting, applicable limit, and limit for Net Open Position involving Rupee as one of the currencies (NOP-INR).”

(ii) Paragraph 21(5) on ‘Risk weights for open positions’ shall be deleted.

(Sunil T S Nair)
Chief General Manager